

Mark Scheme (Practice)

Practice — Pearson Edexcel-style GCE AS Level

Economics A (8EC0) Paper 02 — The UK Economy: Performance and Policies

Difficulty level: Hard

General marking guidance

- All candidates must receive the same treatment.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than be penalised for omissions.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded; indicative content is not exhaustive.
- Crossed-out work should be marked unless the candidate has replaced it with an alternative response.

Section A

1(a)	The only correct answer is D (income inequality / Gini coefficient). A, B and C are the three core HDI components: life expectancy at birth, mean and expected years of schooling, and GNI per capita (at PPP). Inequality is part of the Inequality-adjusted HDI (IHDI), not the standard HDI.	(1)
1(b)	Knowledge 1, Application 1, Analysis 1 Knowledge: identification of one limitation, e.g. it ignores income distribution / inequality (1) / it ignores non-monetary indicators such as health and education (1) / it ignores environmental sustainability (1) / it does not capture the value of leisure or non-market activity (1). Application: reference to context, e.g. UK real GDP per capita grew by ~18% over 2000–2021 while HDI rose only from 0.882 to 0.929 (1). Analysis: linked development, e.g. a rise in GDP per capita can mask rising income inequality if gains accrue to higher earners (1) → headline growth overstates improvements in typical living standards (1).	(3)
2(a)	Knowledge 1 1 mark for definition, e.g. inflation caused by an increase in the costs of production faced by firms, such as wages, raw materials or imports, causing SRAS to shift inwards and the price level to rise (1).	(1)
2(b)	Knowledge 2 Up to 2 marks for, e.g.: stagflation caused by supply shocks (1) → both inflation rises and unemployment rises, contradicting the SRPC (1); rising inflation expectations (1) → workers demand higher nominal wages, shifting the SRPC outwards (1); structural change in the labour market (1) → makes the natural rate of unemployment time-varying (1); the long-run Phillips curve is vertical at the NRU (1) → no long-run trade-off (1).	(2)

2(c)	The only correct answer is C (falling or stagnant output combined with rising prices). A describes deflationary recession. B describes a healthy expansion. D describes pure demand-pull inflation, not stagflation.	(1)
3(a)	The only correct answer is C (the UK current account deficit was at its largest in 2016). A is incorrect — every value shown is negative, indicating a deficit. B is incorrect — the chart shows the largest improvement around 2019–2021. D is incorrect — the current account is dominated by trade flows.	(1)
3(b)	Knowledge 1, Application 1, Analysis 1 Knowledge: identification of a consequence, e.g. need for financing through the financial account / external borrowing (1) / downward pressure on the exchange rate (1) / lower aggregate demand (1) / loss of confidence among foreign investors (1). Application: reference to the chart, e.g. UK deficit has remained between 1.5% and 5.4% of GDP throughout the period (1). Analysis: linked development, e.g. a persistent deficit must be financed by a surplus on the financial account → increases foreign ownership of UK assets and external debt (1) → may be unsustainable if foreign confidence falls, risking a sterling crisis (1).	(3)

4(a)	Knowledge 1 1 mark for definition, e.g. a numerical measure of income inequality on a scale from 0 (perfect equality) to 1 (perfect inequality), derived from the Lorenz curve (1).	(1)
4(b)	Application 2 • 1 mark for a correct leftward shift of AD (higher income tax → lower disposable income → lower C → AD■ → AD■). • 1 mark for showing a lower equilibrium price level ($P■ \rightarrow P■$) and a lower equilibrium real output ($Y■ \rightarrow Y■$), with both clearly labelled.	(2)
4(c)	The only correct answer is C (increased public investment in education and vocational training). A would tend to increase inequality. B would damage long-run productive capacity and likely worsen inequality. D is regressive — would worsen inequality. Education and training raise the productivity and earnings potential of lower-income workers while also shifting LRAS to the right.	(1)
5(a)	Knowledge 1 1 mark for definition, e.g. the stock of cumulative borrowing by the public sector net of liquid financial assets, usually expressed as a percentage of GDP (1).	(1)
5(b)	Application 2 • 1 mark for finding the percentage point change: $97.6 - 83.5 = 14.1$ pp. • 1 mark for expressing as a % of 2019/20: $14.1 / 83.5 \times 100 \approx 16.9\%$. Accept 16.9% or 17%, with valid working.	(2)
5(c)	The only correct answer is A (a persistent rise in real interest rates relative to nominal GDP growth). When the interest rate on debt exceeds the growth rate of GDP, the debt-to-GDP ratio rises automatically (the $r > g$ problem). B improves sustainability. C may slightly raise refinancing risk but is not the key driver in the way described. D is improving the fiscal position.	(1)

Section B — Question 6

6(a)	Knowledge 2, Application 2 (4 marks) Knowledge: 2 marks for, e.g. a macroeconomic objective is a desired outcome of government economic policy (1) — typically including low inflation (e.g. 2% CPI target), low unemployment, sustainable economic growth and a healthy balance of payments (1). May include reference to redistribution and the environment. Application: 2 marks from Figure 1, e.g. inflation reached 9.1% in 2022, far above the 2% target (1); unemployment fell from 7.8% in 2010 to 3.7% in 2022 (1); divergence between the two objectives is visible in 2022 (1).	(4)
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6(b)	Knowledge 2, Application 2, Analysis 2 + Evaluation 4 (10 marks) Indicative content: • A sharp rise in the base rate raises the cost of borrowing for households and firms. • Reduces C (higher mortgage repayments, more incentive to save) and I (higher cost of capital). • Strengthens sterling — hot money inflows; reduces (X – M). • AD shifts leftward ($AD_{\blacksquare} \rightarrow AD_{\blacksquare}$); real output falls $Y_{\blacksquare} \rightarrow Y_{\blacksquare}$; price level falls $P_{\blacksquare} \rightarrow P_{\blacksquare}$. • Application: Extract A — base rate rose from 0.1% to 5.25% to combat 11% inflation; Figure 1 — inflation began to ease after 2022. • Correctly drawn AD/AS diagram with leftward AD shift required to access Level 3. Evaluation (up to 4 marks): • Significant time lags — full effect of rate changes can take 12–24 months. • Cost-push inflation is not directly addressed by demand-side tightening; cost is born by output and jobs. • Distributional impact — mortgage holders hit harder than savers or renters. • Depends on how banks pass on rate changes. • Risk of overshooting and tipping the economy into recession (UK growth slowed to 0.1% in 2023). • Combined with fiscal tightening, total effect may be larger than intended.	(10)
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Level	Mark	Descriptor
	0	Response is wholly incorrect or off-topic.
Level 1	1–2	Limited or fragmented recall of relevant concepts, theories or models. Application is generic and lacks integration with the stimulus. The argument is descriptive, with cause and effect not clearly linked.
Level 2	3–4	Some accurate knowledge is shown and there is partial application to the context. Analytical points are present but the response is narrow or only partly balanced.
Level 3	5–6	Sound knowledge is demonstrated. The candidate refers to the stimulus consistently and analytical chains are clear and coherent, addressing the main demands of the question.

Level	Mark	Descriptor
	0	No evaluative comment offered.
Level 1	1–2	Brief or generic evaluation, with limited reference to the context and no clear reasoning behind the judgement.
Level 2	3–4	Balanced evaluation with reasoning that draws on the stimulus and addresses the main aspects of the question.

6(c)	Knowledge 2, Application 2, Analysis 2 (6 marks) Knowledge: identification of two conflicts, e.g. low inflation vs low unemployment (1) / economic growth vs balance of payments (1) / economic growth vs environmental sustainability (1) / growth vs distributional fairness (1) / reducing debt vs supporting growth (1). Application: 1 mark each for references, e.g. Extract A — austerity intended to restore fiscal sustainability while supporting growth (1); inflation peaked above 11% in 2022 while unemployment was near a 50-year low (1); Figure 2 shows debt rose to ~98% of GDP (1). Analysis: linked development for each conflict, e.g. raising interest rates to control inflation reduces AD → may raise unemployment along the SRPC (1) / fiscal stimulus to support growth widens the deficit and raises debt → tightening required later (1). <i>NB Award up to 4 marks for one conflict well developed (1K + 1Ap + 2An).</i>	(6)
6(d)	Knowledge 1, Application 2, Analysis 2 (5 marks) Knowledge: 1 mark for understanding that a depreciation makes imports more expensive in domestic currency (1) and the UK is a net importer of many goods (1). Application: 2 marks for, e.g. Extract A — pound fell by around 15% against the dollar after the 2016 referendum (1); UK CPI is heavily weighted toward energy, food and imported goods (1). Analysis: 2 marks for linked development, e.g. higher import prices feed directly into UK CPI via imported inflation (1) → firms face higher input costs, shifting SRAS inwards and pushing up output prices (1) → second-round effects through wage demands further entrench inflation (1).	(5)

6(e)	Knowledge 3, Application 3, Analysis 3 + Evaluation 6 (15 marks) Indicative content (apart from monetary policy): • Cost-push factors: surge in global energy prices following the war in Ukraine (2022); food price shocks; supply-chain disruptions from Covid-19. • Imported inflation: depreciation of the pound after the 2016 referendum (15% fall) — Extract A. • Fiscal policy: large pandemic-era support measures (~£370 bn) supported AD when supply was constrained. • Tight labour markets in 2021–22: unemployment near 50-year lows; nominal wage growth above productivity. • Expectations: as headline inflation rose, inflation expectations rose, embedding inflation. • Commodity prices, including oil at over \$120 per barrel in 2022. • Composition of UK consumption basket weighted toward energy and food. Evaluation (up to 6 marks): • Difficulty distinguishing cost-push from demand-pull when both occur simultaneously. • Many factors interact with monetary conditions — easy money kept demand strong while supply contracted. • Some factors (e.g. Ukraine war) were external shocks beyond UK control. • Time lags mean current inflation reflects past shocks. • Difficulty measuring the contribution of each factor. • Mixed evidence — some economists put more weight on supply, others on demand.	(15)
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	0	Response is wholly incorrect or off-topic.
Level 1	1–3	Limited recall of relevant theory. Use of context is weak or absent. Reasoning is descriptive rather than analytical, with no clear chain from cause to effect.
Level 2	4–6	Reasonable knowledge of the topic is shown with some appropriate use of the data. Chains of reasoning are developed but the response may be narrow or unbalanced.
Level 3	7–9	Strong and accurate knowledge is applied to the context throughout. Analysis is logical, well structured and addresses the main aspects of the question.

Level	Mark	Descriptor
	0	No evaluative comment offered.
Level 1	1–2	Brief or generic evaluation, with limited reference to the context and no clear reasoning behind any judgement.
Level 2	3–4	Some weighing of alternative arguments is shown but the discussion is unbalanced, and judgements are not fully supported. A partial chain of reasoning is offered.

Level 3	5–6	Balanced evaluation, with judgements clearly supported by reasoning and consistent reference to the stimulus. The response addresses the main aspects of the question and leads to a supported conclusion.
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6(f)	Knowledge 4, Application 4, Analysis 6 + Evaluation 6 (20 marks) KAA (arguments for prioritising low inflation): • High and variable inflation imposes substantial costs: erosion of real incomes, shoe-leather and menu costs, distortion of investment decisions and redistribution from savers to borrowers. • Anchored inflation expectations are essential for credible monetary policy and stable macroeconomic outcomes. • In the long run, the LRAS is vertical at the natural rate; only inflation rises if policy persistently tries to push output above this level. • Hyperinflation episodes (e.g. Weimar Germany, Zimbabwe) show catastrophic consequences of letting inflation drift. • Application: Extract A — UK CPI exceeded 11% in 2022, eroding real wages; MPC tightened sharply to restore credibility. Evaluation (alternative views): • During recessions or large output gaps, prioritising low unemployment or growth may be more important (e.g. post-2008). • Cost-push inflation (e.g. 2022 energy shock) is poorly addressed by tight money — the costs of bringing inflation down quickly may exceed the benefits. • Trade-offs: aggressive tightening in 2022–23 risked recession and disproportionately burdened mortgage holders. • Other objectives (sustainable growth, low unemployment, balance of payments, distribution, environment) also matter. • Inflation targeting may neglect financial stability (asset price inflation). • A flexible inflation targeting regime balances objectives.	(20)
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	0	Response is wholly incorrect or off-topic.
Level 1	1–3	Limited recall of relevant theory. Use of context is weak or absent. Reasoning is descriptive and lacks logical chains.
Level 2	4–6	Some accurate knowledge is shown with limited use of the data. Reasoning is brief or only partly developed, with at most a two-step chain.
Level 3	7–10	Sound knowledge is applied to the context, with evidence drawn from the stimulus. Reasoning is generally coherent but the response may lack balance.
Level 4	11–14	Precise and confident knowledge is applied directly to the context. Evidence from the stimulus is integrated throughout, and the candidate develops fully coherent and well-structured analytical chains.

Level	Mark	Descriptor
	0	No evaluative comment offered.
Level 1	1–2	Brief or generic evaluation, with limited reference to the context and no clear reasoning behind any judgement.
Level 2	3–4	Some weighing of alternative arguments is shown but the discussion is unbalanced, and judgements are not fully supported. A partial chain of reasoning is offered.

Level 3	5–6	Balanced evaluation, with judgements clearly supported by reasoning and consistent reference to the stimulus. The response addresses the main aspects of the question and leads to a supported conclusion.
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6(g)	Knowledge 4, Application 4, Analysis 6 + Evaluation 6 (20 marks) KAA (UK macro policy more successful at managing inflation): • Inflation was generally close to the 2% target between 2013 and 2021 (Figure 1). • Bank of England independence and credible 2% target anchored expectations. • Sharp tightening 2022–23 brought CPI back below 7% by late 2023. • In contrast, growth was weak — real wages stagnated for much of the decade (Extract A), median household incomes did not return to pre-crisis peak until 2017. • Regional inequality widened — north–south divide; productivity puzzle. • Public sector net debt almost doubled, from ~50% (2008) to nearly 100% (2023) — Figure 2. Evaluation (alternative views): • Unemployment fell consistently from 8% to under 4%, a major success. • Real GDP did recover after 2008 (slowly), and again after 2020. • Inflation overshoot in 2022 (above 11%) suggests inflation control also failed. • Inclusive growth is a difficult and multi-dimensional objective. • External shocks (Brexit, pandemic, energy crisis) made all objectives harder. • Many policy levers (monetary, fiscal, supply-side) had to be used simultaneously. • Conclusion: mixed record; inflation control was relatively successful, growth less so, and trade-offs were unavoidable.	(20)
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Level 2	4–6	Some accurate knowledge is shown with limited use of the data. Reasoning is brief or only partly developed, with at most a two-step chain.
Level 3	7–10	Sound knowledge is applied to the context, with evidence drawn from the stimulus. Reasoning is generally coherent but the response may lack balance.
Level 4	11–14	Precise and confident knowledge is applied directly to the context. Evidence from the stimulus is integrated throughout, and the candidate develops fully coherent and well-structured analytical chains.

Level	Mark	Descriptor
	0	No evaluative comment offered.
Level 1	1–2	Brief or generic evaluation, with limited reference to the context and no clear reasoning behind any judgement.
Level 2	3–4	Some weighing of alternative arguments is shown but the discussion is unbalanced, and judgements are not fully supported. A partial chain of reasoning is offered.

Level 3	5–6	Balanced evaluation, with judgements clearly supported by reasoning and consistent reference to the stimulus. The response addresses the main aspects of the question and leads to a supported conclusion.
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